VIRGINIA
LAW REVIEW

VOLUME 29 JANUARY, 1943 NUMBER 4

ORGANIZED LABOR AND THE CLAYTON ACT: PART II*

VI

The "Immunities" of the Clayton Act

THERE can be no doubt of the fact that Congress, in enacting the Clayton Act, intended to "immunize" certain activities of labor organizations which would come within the purview of the Sherman Act if that Act were held to be applicable to labor organizations on a basis of parity with combinations of capital, and which the courts had in fact held to be within the ban of that Act upon just that theory.[53a] But that does not answer the questions:

*[ED. NOTE—This is the second and concluding part of Mr. Boudin's article. The first installment appeared in Volume XXIX of the *Virginia Law Review* at page 272.]

53a. If anything further were necessary to prove the fact that Congress intended to change the Law by taking at least certain labor *activities* which would otherwise be within the Sherman Act out of the purview of that Act, and not merely to legalize the existence of labor organizations, it is furnished by the report of the Senate Judiciary Committee in recommending the passage of the Clayton Bill. In speaking of Section 6 (then Section 7) of the bill, the Report said:

> "This is the section which declares that nothing contained in the anti-trust laws shall be construed to forbid the existence and operation of labor, agricultural, horticultural and other organizations, instituted for the purposes of mutual help, and not having capital stock or conducted for profit, or to forbid or restrain individual members of such organizations from lawfully carrying out the legitimate objects thereof; nor shall such organizations, or the members thereof, be held or construed to be illegal combinations or conspiracies in restraint of trade, under the anti-trust laws.
>
> "The Senate amendments propose to strike out 'fraternal' organizations, because in the opinion of the Committee, not even a forced construction can bring them under the ban of anti-trust laws, and there is no reason for including them in this enactment. It is also proposed to strike out 'consumers' in this paragraph. This is recommended by the Committee upon the ground that 'consumers' in the economic sense in which the word is used in the bill, while probably intended to apply only to consumers of food products and clothing, is susceptible of much abuse if in the unrestricted sense it is applied, as possibly it may be in imaginable cases, to

Have *all* activities been immunized? And, if they have not all been immunized, which ones *were* immunized? Perhaps the best way of arriving at a correct conclusion is to discuss first the problem of *objectives,* and then the problem of *means.*

A. Labor Organizations Have a Right to Monopolize the Labor Market

One must bear in mind that the Sherman Act consists of two sections insofar as its prohibitions are concerned; one prohibits "monopoly" and the other prohibits "restraint of trade." It will also be recalled that Judge Putnam, in his very careful opinion in the *Cash Register* case,[53b] had pointed out that the Sherman Act was primarily a "monopoly" statute, and that the section dealing with restraint of trade must therefore be read in the light of its general character. Accordingly, only such restraints of trade as tend to create a monopoly were prohibited by the Act. Between the rendition of that opinion and the debates on the Clayton Act the courts had never dealt squarely with this problem, with the sole exception of Judge Dayton. Indeed, they could not very well have done so without becoming entangled in endless contradictions. For the difficulty lies at the very base of the problem—in the attempt to apply to organizations of labor a statute intended to curb trusts. The contradictions in the situation are both inherent and insoluble. The purpose of preventing monopoly is to guard the public against the *control* of prices by private organizations. But the *object* of every labor union is to gather together all the workers in the industry for the avowed purpose of *controlling* wages and other conditions of employment which bear directly on prices. If, therefore, the Sherman Act is applicable to labor organizations, *every* labor union is illegal, and should be so declared.

---

all character of consumers, including corporations generally, as they are unquestionably consumers. But the principal consideration which moved the Committee to strike out 'consumers,' which also applies in a less degree to 'fraternal' organizations, is that they believe the only organizations which should be *excluded from the operation of the anti-trust laws* are those where labor is the basis or one of the chief factors in the organizations, as in the case of labor organizations proper, and in agricultural and horticultural organizations. *The committee rests this distinction upon the broad ground that labor is not, and ought not to be regarded as, a commodity, within the purview of anti-trust laws."* SEN. REP. No. 698, 63rd Cong., 2d Sess. (1914) 46.

53b. U. S. v. Patterson, 55 Fed. 605 (1893).

It must be borne in mind in this connection that the Act does not prohibit only complete monopolization, but every "attempt to monopolize," as well as every attempt to monopolize "any part" of trade or commerce. We are, therefore, at the very outset of any attempt to apply the Sherman Act to labor organizations, on the horns of a dilemma. Either it is true that the Act applies to labor organizations on a basis of equality with combinations of capital, in which event every labor union must be held to be an illegal combination within the meaning of the Act; or we must hold that at least Section 2 of the Act does not apply to labor organizations. However, neither is there any principle of law upon which the courts could differentiate between Section 1 and Section 2 of the Sherman Act with respect to their applicability to labor organizations, nor is there anything in the history of the legislation which would justify such a differentiation. Indeed, the courts never attempted to make any such distinction. That is to say, *they never attempted to state such a distinction.* In their actual decisions, however, they have been doing it constantly. The fact is that the courts never dared to face the problem squarely. They have continually ignored the provisions of Section 2 of the Sherman Act, while affirming at the same time that the Act applied equally to both classes of organizations. In the *Danbury Hatters'* case [53c] the Supreme Court, as we have seen, quoted from the bill filed by the United States in the *Debs* case the passage upon which that suit was based, namely, that the labor unions involved combined "to secure unto themselves the entire control of the * * * business * * * along the lines of road of said railways." The court also referred approvingly to the decision of the lower court which had issued the injunction restraining that monopoly. But no court or judge has ever dared draw the logical consequences of this theoretical position. *Not even Judge Dayton.*

It is true that Judge Dayton declared the United Mine Workers an illegal monopoly under the Sherman Act. But that decision, as already pointed out, was based not on the purpose and object of the United Mine Workers to organize all miners into one labor union and thereby *control the conditions of labor* in the min-

53c. Loewe v. Lawlor, 208 U. S. 274 (1908).

ing industry, which was the *gravamen* of the offense in the *Debs* case as stated in the bill and approved by the Supreme Court, but was based rather on the ground that the United Mine Workers had attempted to unionize the employees of the Hitchman Coal Company *without its consent.* This was certainly a novel principle in the law of monopoly and restraint of trade, and one flying in the face of all the decisions in all of the non-labor cases under the Sherman Act as well as in the teeth of the language of the Act itself. The Sherman Act certainly does not differentiate between restraints forced by the combination upon others, and restraints which are the result of the consent of all of the parties to the combination and which operate upon its members alone. Indeed, the very first thing mentioned in the Act as prohibited by its provisions is "every *contract* * * * in restraint of trade." A contract is, of course, entered into by the consent of the parties thereto, otherwise it is not a contract in legal contemplation. And, if memory serves us right, every case that had come to the Supreme Court before the *Danbury Hatters'* case was one in which the contracts sought to be declared illegal were entered into by consent, and the practices sought to be enjoined were the result of arrangements entered into with the consent of every member of the combination.

In this connection the discussions of the problem of consent in the opinions already delivered in the Supreme Court at the time Judge Dayton's decision came up for review are extremely interesting. While it is true that those discussions related to the problem at common law and not under the Sherman Act, the majority of the Supreme Court did not disapprove of Judge Dayton's position that whatever constituted illegal labor union activity at common law was also prohibited by the Sherman Act. In fact, the only criticism of Judge Dayton's action in applying the Sherman Act to the situation, expressed by the minority, was based entirely on the fact that that issue had not been raised by the pleadings. Indeed, in all of the labor cases decided by the Supreme Court beginning with the *Danbury Hatters'* case and ending with the *Bedford Cut Stone* case,[53d] it was assumed that a labor union activity

53d. Lowe v. Lawlor, 208 U. S. 274 (1908); Bedford Cut Stone Co. v. Workingmens Association, 274 U. S. 37 (1927).

which was tortious at common law was in restraint of trade under the Sherman Act. What the Supreme Court said with respect to the common law of the case was, therefore, directly in point on the question of what was or was not permissible under the Sherman Act. And the Supreme Court sustained Judge Dayton's basic position that whether an attempt to monopolize was legal or illegal depended upon *consent.*[54]

The first concern of Congress was, therefore, to overrule the theoretical position or rule, announced in the *Danbury Hatters'* case, that the Sherman Act applied to labor organizations on a basis of equality with combinations of capital; and to authoritatively *declare* the law to be that while combinations of capital whose object was to monopolize industry and control prices were illegal under the Sherman Act, combinations of laborers whose object was to combine all labor in an industry and control wages and other terms of employment were *not* within the prohibitions of that Act. On that point there never was any difference of opinion in Congress; the only difference of opinion that appeared in the debates was as to whether or not that principle was not already law.[55]

---

54. In his opinion on behalf of the majority of the Court, Judge Pitney said:

"In short, at the time the bill was filed, defendants, although having full notice of the terms of employment existing between plaintiff and its miners, were engaged in an earnest effort *to subvert those relations without plaintiff's consent,* and to alienate a sufficient number of the men to shut down the mine, to the end that the fear of losses through stoppage of operations might coerce plaintiff into 'recognizing the union' at the cost of its own independence." Hitchman Coal & Coke Co. v. Mitchell, 245 U. S. 229 (1917).

55. The *Danbury Hatters'* case was frequently referred to in the Congressional debates, and the purpose of the legislation under consideration was repeatedly stated to be the overruling of the principles announced in that case.

Even Senator Pomerene, as was pointed out in footnote 36, was of the opinion that workingmen should have the right to combine for the accomplishment of the purposes referred to in the text. And the only reason he was opposed to the bill was that he thought that the Law as it then stood did not affect labor organizations because of their purposes and that they came within the purview of the Sherman Act only if the *means* used—"complications," as he put it—were illegal. The purpose of those who favored the bill was twofold: First, to declare expressly the theoretical position of the Supreme Court in the *Danbury Hatters'* case to be no longer law. And, second, to prevent the misuse of the Sherman Act against labor by pouncing upon "complications" as a handle to its use against labor. In other words, the

As has been already pointed out, that difference of opinion was caused by the duality, or rather, inner contradictions, of the de-

---

intention of Congress appears to have been clearly to overrule *both* parts of the opinion in the *Danbury Hatters'* case.

At the very outset of the debate in the House on June 1, 1914, Representative Henry, one of the leaders of the House and one of the principal proponents of the so-called Webb amendment, said:

> "In my judgment, when Congress was dealing with 'combinations in restraint of trade' it never intended that the law should apply to labor organizations or farmers' organizations without capital and not for profit. The courts took a different view of it and construed the act as it was never intended that it should be interpreted. The time has come when we can correct that error and write the language in the law as those gentlemen insist that it should be and should have been." 51 CONG. REC. 9540 (1914).

In the course of the debate on the same day, Representative Murdock said: "Now when we first passed the Sherman anti-trust law labor believed it was exempted, and it went to the courts and the courts after long litigation told organized labor that under the terms of the Sherman anti-trust law it was not exempt. That is, the courts sent organized labor back to Congress." *Id.* at 9542.

Representative Quinn said in the course of this debate: "My friend from Texas (Mr. Henry) says Senator George never thought the law would apply to such beneficent organizations. The whole record shows that the great lawyers of that Congress never dreamed of such an outrage as the Sherman anti-trust law being construed by the courts so as to affect the farmers and labor organizations of this country." *Id.* at 9546.

Representative Towner said: "Nothing is better established than the fact that such associations were not intended to be included in the Sherman anti-trust law * * *. An unfortunate interpretation by the courts has given the act a meaning not intended and not desired." *Id.* at 9547.

Representative Hensley: "I have never been able to understand the process of reasoning on the part of the courts of our country which has brought these organizations within the purview of the Sherman anti-trust law." *Id.* at 9551.

Representative Casey said: "For years the laboring people have contended that the Sherman anti-trust law was never intended to apply and should not have been applied to the voluntary organizations of the working people. By reason of the decision of the Supreme Court in the *Hatters'* case, and of several courts in other cases, that law was made to apply to organizations of workers. It is unnecessary at this time to recount the various phases and the developments of the efforts to secure remedial legislation which the working people of the country have so long and so justly demanded." *Id.* at 9557.

And when the bill came back to the House from the Conference Committee for final passage in its present form, Congressman Buchanan, one of the leaders of the House, said:

> "The purpose of the so-called exemption features of the Clayton bill is to remedy the anti-trust laws by supplying the omission which, when the original was passed, was seen by many to be fraught with danger. Far from being 'class legislation,' the purpose of this feature of the bill is

cisions of the courts. In the course of the discussion the various speakers referred to these differences of opinion among the various courts, due principally to the decision of the Circuit Court of

---

to prevent class legislation or the application by the courts of this legislation to a class. It is designed to give the combinations of workingmen the same rights that are now accorded to combinations of capital—the right to combine for their mutual interest and to act under that combination, so long as such acts are not accompanied by violence or fraud.

"The fact of the matter is that under the perversion rather than the interpretation of the Sherman anti-trust law by the Federal courts, that which is held to be law is founded upon neither justice nor common sense. The Federal courts have fallen into that error which places voluntary organizations of working people, organized not for profit but for humanitarian purposes, in the same category with greedy trusts, corporations, and monopolies which control the product of labor and which speculate in the necessaries of the masses of the people. It is equal to placing human beings in the same scale with a ton of coal, a barrel of flour, or a bolt of cloth.

"There was never any intention on the part of the Congress of the United States to include voluntary organizations of workers and labor unions in the Sherman anti-trust law, and all that has transpired since the enactment of that law clearly demonstrates the necessity for the enactment of the principles of the Bartlett-Bacon bill, which we have embodied in this measure, as a remedy for the wrongful position in which organized labor has been placed by judicial interpretation and judicial legislation." *Id.* at 16338.

So much for the House. As for the Senate: Senator Ashurst, Chairman of the Senate Judiciary Committee, who was in charge of the bill, in opening the debate on August 13, said:

"It was not the intention of the legislators to apply the Sherman anti-trust law to labor organizations, although the courts, by strained and harsh constructions, have sought to apply it to labor organizations.

"By judicial interpretations and legal precedents, and especially by the decision of the United States Supreme Court in the *Danbury Hatters'* case, the terms of the law intended to apply to persons dealing in commodities were interpreted to apply to the energies and activities of associated laborers." *Id.* at 13663.

On August 17, Senator Hollis said: "At that time no one imagined that labor unions or farmers' associations would come within the Act. No abuses from such organizations challenged attention.

"But subsequently the language of the act was so tortured to a meaning that has worked much hardship on workingmen and farmers. From an instrument which was intended for the relief of the plain people, it is transformed into an instrument for their oppression." *Id.* at 13967.

On August 20, Senator Thomas said: "Mr. President, I am justified, I think, in taking up a little time of this body and in giving my views concerning this section, because the courts have been justly censured for giving a construction to the Sherman Act in its application to labor organizations which is said to be entirely inconsistent with the declarations of its framers at and before the time of its enactment. Men say, and they say with great justice, that this law was never designed to apply to organizations of men, because distinguished Senators so declare, and one of them offered an amend-

Appeals of the Fourth Circuit in reversing Judge Dayton's decision in the *Hitchman Coal* case.[55a] Some of the speakers therefore contended that the proposed *declaration* merely expressed the "best" legal opinion on the subject. That was a rather inaccurate way of putting it, for it was not a question of difference of opinion among the courts, but rather an inner contradiction in all of the opinions of the courts, which was most conspicuous in the opinion of the Supreme Court in the *Danbury Hatters'* case. Be that as it may, the declaration on the subject was clear and explicit. It read:

> "Nothing contained in the Anti-Trust Laws shall be construed to forbid the existence *and* operation of labor * * * organizations * * * or to forbid or restrain individual members of such organizations from carrying out the legitimate objects thereof."

Such was the language of Section 6 as originally reported by the House Judiciary Committee. What happened to it later, and why, will appear in the course of our further discussion.

B. Constraint Does Not Make Labor Union Action Illegal

Whatever may be thought of the action of Congress in removing labor union activities from the domain of "monopoly," thereby definitely exempting labor organizations from the provisions of Section 2 of the Sherman Act, there can be no question of the fact that in the next step the intention was to definitely change the law

---

ment to that effect at the time of its enactment which would have been adopted but for the impression that such an amendment was not necessary. Hence there has been bitter feeling, much in the way of reproach and of injustice, because of the operation of the law when contrasted with these preceding statements." *Id.* at 14021.

On September 2, in the final debate on the Clayton bill, Senator John Sharp Williams, one of the leaders of the House, and one of its best lawyers, said:

> "Mr. President, it seems to me this whole matter may be summed up almost in one sentence. A statute which was passed avowedly and without question to check the operation of the tyranny of the combined money power of the country as being a menace to free institutions was construed by the Federal judiciary so as to operate against the freedom and liberty of men engaged in hiring their labor. It is another instance of judge-made law. The judges amended a legislative act. The sole question before us is whether we shall perpetuate this judge-made law or whether, by broad language, we shall put an unmistakable end to it." *Id.* at 14588.

55a. 245 U. S. 229 (1917).

not merely theoretically but as actually applied by the courts. We have seen that Judge Dayton, in the *Hitchman Coal* case, made the legality or the illegality of labor union activity depend upon *consent* and that the Supreme Court approved. At the time the Clayton Bill was before Congress the Supreme Court had not yet spoken in the *Hitchman Coal* case. But what it said when it did speak substantially affirmed the position of most of the courts as to the common law of the subject as well as to the law under the Sherman Act. In this connection we again call attention to the fact that neither the Circuit Court of Appeals in reversing Judge Dayton's decision, nor the minority of the Supreme Court in their attempt to sustain that reversal, in any way disputed Judge Dayton's position with respect to the matters prohibited by the Sherman Act if applicable to the case. While it does not follow that they agreed with him on the subject, it at least indicates that they thought Judge Dayton stood on firmer ground in this respect, and that it would be more difficult to attack him at that point. The reason for the belief was the assertion of the Supreme Court in the *Danbury Hatters'* case that the Sherman Act was broader than the common law in its prohibitions; and that if the Act applied it seemed difficult to differentiate between "restraint" and "coercion."

C. *Means Are Not Within the Purview of the Anti-Trust Laws*

This brings us to the problem of *means* as distinguished from *objects*. As already pointed out, the Sherman Act deals—perhaps it would be more proper to say it should be *held to deal*—only with objects, and takes no notice of means. But the common law deals with both objects and means. "Conspiracy" is defined at common law as a combination to accomplish an illegal *object* or a legal object by illegal *means*. And "illegal" in this connection does not mean *criminal*, or even *tortious*, but includes everything that may be deemed by a court to be "against public policy." On this point the Supreme Court said in the *Hitchman Coal* case:

> "In short, at the time the bill was filed, defendants, although having full notice of the terms of employment existing between plaintiff and its mine workers, were engaged in an earnest effort to *subvert those relations* without plaintiff's

consent, and to *alienate a sufficient number of the men* to shut down the mine, to the end that the fear of losses through stoppage of operations might *coerce* plaintiff into 'recognizing the union' at the cost of its own independence." [55b]

If this were permitted to continue as the law, labor unions would indeed be in a bad way. If labor unions may be enjoined from "coercing" an employer into consenting to the unionization of his plant by the threat of a strike by "alienating" the affections of his employees, there would be very little room left in which labor unions could operate. However, even an exemption of the *operations* of labor unions from the purview of the Sherman Act was not a complete remedy, as was evidenced by the result in the *Hitchman Coal* case, which sustained an injunction without the application of that Act. Here is where Section 20, which dealt with the specific problem of injunctions, came into play. The provisions of that section specifically prohibited the federal courts from issuing injunctions enjoining strikes peaceably conducted even though their effect might be to coerce the employer into recognizing a union against his will. But Section 20 does not stop at that. Having prohibited the issuance of injunctions enjoining peaceful strikes (and some other things to be considered further below) it concludes with the *legalization* of the activities which federal courts are prohibited from enjoining. The *legalization provision* of Section 20 reads as follows:

"Nor shall any of the acts specified in this paragraph be considered or held to be violations of any law of the United States."

The Sherman Act being one of the laws of the United States, none of the activities enumerated in that paragraph may, under the last quoted provision, be held to be an illegal activity under the Sherman Act.[56]

55b. *Id.* at 248.

56. The paragraph which ends in the above declaration of all of the activities therein enumerated thus being *legalized,* is as follows:

"No restraining order or injunction shall prohibit any person or persons, whether singly or in concert, from terminating any relation of employment, or from ceasing to perform any work or labor, or from recommending, advising or persuading others by peaceful means so to do; or from attending at any place where any such person or persons may lawfully be, for the purpose of peacefully obtaining or communicating information, *D. Anti-Trust Laws Must Not Be Applied to Labor.*

Sections 6 and 20, (using the present numbering), as originally reported by the House Judiciary Committee, taken together, were supposed to have provided sufficient protection against the application of the Anti-Trust Laws to labor. But alert friends of labor in Congress and labor itself outside of Congress considered the protective armor provided by these sections vulnerable, in that it did not offer sufficient protection against a *perversion of the intention* of Congress similar to the perversion of the Sherman Act from its original purpose. The hostility of the courts, or at least of some of them, to labor was assumed. The problem was, therefore, not one of Congress manifesting its intention to put labor in a different category from capital insofar as anti-trust laws were concerned. That, it was pointed out, had been sufficiently manifested by Congress when it passed the Sherman Act, but such manifestation of intention had hardly precluded the courts from applying the Sherman Act to labor. Indeed, as was pointed out in these debates, it was applied *primarily* to labor. Or, at least, it applied to labor in a more rigorous way than to capital, since labor leaders were the only ones who had so far been sent to jail or threatened with jail sentences for alleged violations of the Sherman Act.[57] It was also pointed out that it was the courts which

or from peacefully persuading any person to work or to abstain from working; or from ceasing to patronize or to employ any party to such dispute, or from recommending, advising, or persuading others by peaceful and lawful means so to do; or from paying or giving to, or withholding from, any person engaged in such dispute, any strike benefit or other monies or things of value; or from peaceably assembling in a lawful manner, and for lawful purposes; or from doing any act or thing which might lawfully be done in the absence of such dispute by any party thereto."

57. The most famous of those imprisoned was Eugene V. Debs, who had been sent to jail in connection with the Pullman strike. As was pointed out elsewhere, the United States Supreme Court in affirming the Debs jail sentence did not base its decision on the Sherman Act, but the lower courts did.

The case which had been agitating the public mind between the decision in the *Danbury Hatters'* case and the adoption of the Clayton Act, was the so-called *Buck's Stove* case (Gompers v. Buck's Stove and Range Co., 221 U. S. 418 (1911)), in which Samuel Gompers, President of the American Federation of Labor, John Mitchell, its Vice-President, and Frank Morrison, its Secretary, were adjudged guilty of contempt of court and sentenced to terms of imprisonment running from 15 months for Mr. Gompers to six months for Mr. Morrison. Like the *Hitchman Coal* case, it was an injunction suit brought put labor in a separate category with respect to the *construction* of the Anti-Trust Laws—while in the cases under the Sherman Act in which combinations of capital were defendants, the courts did not consider the *means* whereby the object of the combination was effected, so that a combination whose object was not prohibited by the Act could not be brought within its purview because of the unlawful character of the means employed in accomplishing it; the courts had, in both the *Workingmen's Amalgamated Council* case and the *Danbury Hatters'* case, apparently decided that cases which would otherwise not be within the purview of the Sherman Act could be considered violations thereof if the means employed were of an improper character. The armor that was necessary was, therefore, of a kind that would offer protection to labor against future *perversions* by the courts of the Congressional intent. That was apparently the subject of the conference in Mr. Henry's office during the Decoration Day week-end. It resulted in the so-called Webb amendment offered at the commencement of the debate on June 1, 1914, which was considered iron-clad. That amendment consisted of *an addition* to Section 6 as originally reported, reading as follows:

> "Nor shall such organizations, or the members thereof, be held or construed to be illegal combinations or conspiracies in restraint of trade, under the Anti-Trust Laws."

This made it as clear as the English language could possibly make it that neither labor organizations nor their members can be held or construed by any court to be illegal combinations or

---

not under the Sherman Act (private parties having no right to bring injunction suits under the Sherman Act prior to the enactment of the Clayton Act), but at "common law," on the equity side of the court, on the theory that the boycott carried on by the American Federation of Labor against the Buck's Stove and Range Co. upon which the suit was based was in violation of the Sherman Act and that plaintiff was therefore entitled to have it restrained by an equity court on general "common law" principles.

The Supreme Court, in a decision handed down in May, 1911, reversed the sentence on technical grounds, and remanded the case to the lower court for further action, and in so doing affirmed the applicability of the Sherman Act to labor. It was this decision that was referred to by Mr. Buchanan in delivering what might be called the valedictory oration on the Clayton Act in the House of Representatives when it came up for final passage on the part of the Conference Committee after it had been amended in the Senate.

conspiracies in restraint of trade under the Sherman Act either because of their *objects* or because of the *means* used in reaching their objects. Not only is this language itself as clear and explicit as it could possibly be, but well known rules of statutory interpretation also required that the language be given that meaning because of the legal situation which existed at the time the amendment was offered and adopted. As already pointed out, the existence and operation of labor unions by legal means had been provided for in Section 6 as originally reported by the House Judiciary Committee, which now constituted the first half of the section as amended. Under the rule of statutory construction which requires that *every part* of a statute must be given effect, the courts would be bound to hold that this amendment was intended to give *additional scope* to the exemption provided by the first half of the Section. And the only *additional exemption* that it could possibly give would be to hold that the use of illegal means did not bring a legitimate objective within the purview of the Act. In this connection it is well to remember that *peaceful coercion,* which might be deemed to occupy an intermediary position between legal and illegal means, and therefore possibly to have been intended to be covered by the additional exemption offered by the second half of Section 6, had already been exempted by the provisions of Section 20, quoted above. Moreover, the time at which this amendment was offered and the language used therein make it clear that it was directed against that *perversion* of the Sherman Act by the courts which had converted it in its application to labor organizations from an economic statute into a means of preventing criminal or tortious acts.

That does not mean, of course, that Congress had intended to *legalize* criminal or tortious actions on the part of labor unions. What Congress intended to say, and *did* say, was that the Sherman Act had never been intended to prevent acts of violence for which the criminal laws of the states furnished sufficient protection, or to prevent tortious acts for which the state courts offered an adequate civil remedy.[58]

---

58. We have already pointed out that during the debates it was stated again and again that the purpose of the legislation was to undo the mischief of the *Danbury Hatters'* case, which had been a case of boycott, tortious at com-

Nevertheless, the Section, even as amended by the Webb amendment, was criticized in the course of the debate in the House on the ground that it did not give labor sufficient *guarantee against perversion by the courts;* and a second amendment was offered, as a substitute for the whole Section, practically reiterating the language of the Bartlett-Bacon Bill of the preceding Congress, which declared that the Anti-Trust Laws *"shall not apply to"* labor organizations. The debate then turned mainly on the question of whether or not the language of the Webb amendment was susceptible of *perversion* by the courts—the sponsors and advocates of that amendment assuring the House that it was susceptible of no such perversion.[59] But they did not rest on these assurances of success alone, for they affirmed to the House further that the Webb amendment had the approval of labor leaders and their counsel, who *preferred* the Webb amendment to the substitute offered. And it is clear from the course of the debate in the House that it was this latter assurance which led to the rejection of the substitute.[60]

---

mon law. It may also be added here that in the course of the debate it was specifically stated that it was unjust to labor to make it subject to triple damages for ordinary torts, which was the effect of the application of the Sherman Act to boycotts, as was done in the *Danbury Hatters'* case.

In the House, Mr. Lewis said: "I challenge the gentlemen of this House to say that Congress would have ever said to the toiler: 'If you overstep the line and commit a tort, you shall be subject to threefold damages.'" 51 Cong. Rec. 9565 (1914).

It is therefore important in the course of these debates to note whether a speaker, in disapproving of certain conduct, and therefore objecting to its legalization, was referring to Section 20 or Section 6 (Sections 18 and 7 as they were then numbered). Some of the speakers themselves failed to make this differentiation. This was particularly true of those who opposed the legislation, who were attempting to confuse the issue between legalization of the conduct and its exemption from the operation of the Sherman Act. But where the issue was made clear, it can be safely said, that no voice was raised in either the House or the Senate in defense of making conduct subject to the provisions of the Sherman Act because it involved the commission of a tort or act of violence.

59. There was also criticism by Representative Lenroot on the use of the word "construed" because it would make the language used appear as if Congress were attempting not to legislate now, but to construe the Sherman Act which had been passed by another Congress, and that the courts might hold that the present Congress had no such power, the power to *construe* laws being a function of the courts. 51 Cong. Rec. 9550 (1914).

60. It is clear from the debates that Congress was determined not only to

VII

The Difficulties in the Way

The question that suggests itself as a result of the foregoing discussion is: Why did Congress and the labor leaders prefer the Webb amendment to the language of the Bartlett-Bacon Bill which certainly had the advantage of simplicity and directness? Certainly no one could mistake the meaning of "shall not apply to." This brings us to a consideration of certain legal problems not hitherto considered, and the dilemma which these problems presented to Congress. These can be best considered in connection with the debates in the Senate. In order to understand fully the arguments made in the course of that debate we must point out here that the Senate Judiciary Committee, to whom the House bill had been referred, had introduced an amendment into Section 6 by inserting the word "lawfully" in that portion of the first half of the Section which dealt with activities of *individual members,* so that that portion of Section 6 now reads:

> "* * * or to forbid or restrain *individual members* of such organizations from *lawfully* carrying out the legitimate objects thereof."

A. The Bugaboo of "Legalization"

The first thing that must be considered is the storm aroused by the notion assiduously spread by the enemies of labor that Congress was attempting to *legalize* violence and the secondary boy-

make a radical change in the law of the subject, but that the change should be such as would satisfy organized labor. At the commencement of the debate in the Committee of the Whole, on June 1, 1914, Mr. Henry told the story of the so-called Webb amendment. The original report of the Committee on Judiciary, said Mr. Henry, was unsatisfactory to many members of the House, and also to the representatives of organized labor. A conference was held at his (Mr. Henry's) office (apparently during the Decoration Day week-end) between the representatives of the Committee on Judiciary and representatives of organized labor and their counsel. It was at that conference that the Webb amendment had been formulated and agreed upon; and it was the assurance of Mr. Henry and Mr. Webb that this amendment completely satisfied organized labor that led many Members to vote for it. Some of them expressly so stated, and others repeatedly referred to the approval of the Webb amendment by organized labor and their counsel as a reason for voting for the same.

cott. There was considerable hubbub in the public press on this subject while the bill was still pending in the House, and the hubbub assumed the proportions of a sandstorm after it passed the House and while it was pending in the Senate. As a result the sponsors of the bill were put on the defensive and—were compelled again and again to disclaim any intention to *legalize* either violence or the secondary boycott. But that did not stop employers and other organizations from passing resolutions condemning the action of the House and demanding that the Senate stop the mischief. As we have already seen, Section 6 does not "legalize" either the use of violence or the secondary boycott—all it does is take all labor activity, violent or otherwise, out of the purview of the Sherman Act, leaving all punishment or remedy, as the case may be, to the criminal law or the ordinary law of torts. But this action, plus the actual attempt of Congress in Section 20 to legalize certain peaceful activities of labor unions, which, as we have pointed out, had the effect of exempting *those* activities from the operation of the Sherman Act, was sufficient to put public opinion in a turmoil. The result was that by the time the Senate came to act its members had been deluged by appeals in the form of resolutions by public bodies and telegrams from individuals to come to the rescue of law and order by neither giving labor a license to commit violence nor preventing the courts from giving relief from damages caused either by violence or the secondary boycott.

In this connection it must be stated that while the assertion that Section 6 *legalized* violence or the secondary boycott (in the sense that it prevented the courts from punishing the first or giving relief for the second) was utterly groundless, the matter did involve a nice question of constitutional law which not only the public generally, but even most members of Congress, could not be expected to fully comprehend, and the solution of which depended to a very large extent on a correct understanding of the nature of the Sherman Act, which the courts, including the Supreme Court, had done so much to muddle. If the Sherman Act be held to *deal* only with *economic objectives* and not with the means of their attainment, then the matter was clear enough; it could not possibly be argued that an exemption of labor union objectives from the purview of the Act gave either labor unions or their members license to commit any acts illegal or unlawful *per se*. But if it were held, as the courts had previously held, that in its application to labor unions the Sherman Act dealt not with *objectives* but with *means,* the matter became considerably confused.

However, it must be borne in mind that under well-settled rules of constitutional interpretation in the sphere of interstate commerce, the states are ousted from jurisdiction, and the state laws cease to operate, whenever Congress occupies a particular legal field. Indeed, the courts have gone to extraordinary lengths in the application of this doctrine, so that frequently things that had never been within the contemplation of Congress in enacting a particular piece of legislation have been included by the courts therein because of this "Rule of Occupation." This is well illustrated by a case which, at the time of the congressional controversy, had been recently decided by the Supreme Court. It was held that the State of New Jersey could not regulate the price of ferriage for passengers using railroad ferries plying between the New Jersey and New York sides of the Hudson River because ferries were *mentioned* in the Interstate Commerce Act regulating certain activities of railroads. And this decision came in the face of several decisions of the Supreme Court which had previously established as a constitutional principle that ferriage across a river forming the boundary between two states is not interstate commerce, and the States are therefore free to regulate the same.[61]

It could, therefore, be argued in support of the contention that an exemption of illegal activities of labor unions from the operation of the Sherman Act would, or at least *might,* be construed by the courts to prevent all state court action, on the theory that by legislating on the subject Congress had "occupied the ground," and that in exempting labor union activities from such legislation Congress had "legalized" their activities so as to oust the states from jurisdiction. Such a contention would, of course, put a highly strained construction upon the action of Congress, which was clearly designed merely to undo what the courts had done rather than to initiate any affirmative legislation. But the courts' perversion was itself, in the mild language of Senator Ashurst in

61. New York Central Ry. v. Board, 227 U. S. 248 (1913).

this very debate, a strained construction, and the opponents of the legislation could make a plausible case by claiming that the courts which had in the past put strained construction upon the Sherman Act against labor might in the future put strained constructions upon the Clayton Act in labor's favor.

B. Fear of Combined Action of Employers and Labor Unions in Restraint of Trade

A more serious problem was presented by the fear of some members of Congress of joint action in restraint of trade by combinations of employers and labor unions. Generally speaking, there seemed to be very little fear of action on the part of labor in the long Congressional debates, and no demand was made that Congress do something to prevent it, or even abstain from doing anything that might permit it. The one exception was the fear of "legalization" which was for the most part expressed outside of the halls of Congress, and referred to a different field from that dealt with by anti-trust legislation. And in connection therewith, insofar as it was taken notice of in Congress at all, the speakers asserted that labor itself did not desire either to indulge in such illegal action or to have such action legalized. One speaker, however, referred to the possibility of joint action between combinations of employers and labor unions—action of a nature properly coming within the purview of the anti-trust laws—which might be legalized by an exemption of labor unions from the operation of the Sherman Act, to the detriment of the general policy of Congress as expressed in other portions of the Clayton Act. As a matter of fact, he pointed to an actual practice of certain local labor unions exemplifying that danger. Senator Thomas of Kentucky said:

> "We all know that in many instances such combinations are made; that unscrupulous concerns and manufacturers deliberately unite with labor organizations for the purpose of preventing that competition which if it existed would be helpful for the public, but at the same time result in reduced profits to those interested. I can give one or two instances: The Manufacturing Woodworkers' Association of New York, composed of union manufacturers of wood trim, agree to employ only union carpenters on condition that the union will

protect them from all open-shop competition by calling strikes on all buildings where open-shop products are used. Through this combination no non-union woodwork—which is 25 to 50 per cent cheaper than union woodwork—can be used for building purposes in certain parts of the country, because the builder is deterred from purchasing such material by fear of disastrous strikes. Monopoly and inflated prices are thus assured, while employer and employee divide the spoils. I am told, Mr. President, that one result of this agreement between the manufacturing woodworkers in the City of New York and the union organizations of that city is that it has completely excluded all non-union wood-trim products from that market, in consequence of which the others have an absolute monopoly and fix their own prices." [62]

But it was not so much the actions of the unions that Senator Thomas was concerned about as the actions of the combinations of manufacturers and the effect upon the enforcement of the anti-trust laws. Said he:

"We may concede, Mr. President, that labor is not a commodity, and, not being a commodity, should not be made subject to the provisions of the anti-trust law; but when labor unites its element, whatever it may be called, commodity or otherwise, with the things which it produces and goes into the market for the purpose of promoting or preventing its sale, then we must consider it in connection with the commodities to which such action relates; and inasmuch as it asserts its interest in the thing which it creates and uses its tremendous power in influencing markets for and against it, necessarily it occupies a different attitude from that which it occupies in the mere matter of working or of refusing to work.

"I am not arguing for its justice or its injustice; I am simply calling attention to the far-reaching fact that when you concede the exemption of any association from the operation of the prohibitions of the anti-trust act, you open a door which will permit of its absolute violation with impunity all along the line." [63]

To substantiate his contention that exemptions of such joint ac-

62. The quotation is from an article by Walter Gordon Merritt, the well-known anti-labor attorney. 51 Cong. Rec. 14022 (1914).

63. 51 Cong. Rec. 14022, 14023 (1914).

tion would "open a door which will permit of its absolute violation with impunity all along the line," he referred to what he called "an elementary legal proposition" permitting of no exception, that "if the principal is not guilty the accessory cannot be guilty." It is unnecessary to question Senator Thomas' analysis of such joint action, which makes the labor union the principal and the combination of businessmen actually selling the product an accessory. The important thing is that it is undoubtedly true that at least in certain cases the inapplicability of the statute to labor unions would make it also inapplicable to combinations of employers, and that whether they act as "principals" or as "accessories" there is no reason for exempting labor unions, or at least their officers and members, where they leave the sphere of proper labor union activity and attempt to assist manufacturers or other employers in establishing a monopoly in their trade or industry. On the legal question involved, we may call attention to a case decided by the courts of the State of New York under the New York State anti-trust law, commonly known as the Donnelly Act, in which it was held that an agreement between a labor union and an employers' association which might otherwise have come within the condemnation of that Act was without that condemnation because of a flat exemption of labor unions from its operation. The Donnelly Act, so-called, was amended in 1933 so as to exempt labor unions from its operation, after an agitation somewhat similar to that which preceded the enactment of the Clayton Act. Made wise by the action of the courts in emasculating the Clayton Act, the New York State Legislature, in order to make sure of the exemption, revived the language of the Bartlett-Bacon bill:

> "the provisions of this article shall not apply to * * * bona fide labor unions." [63a]

The labor union controlling the fur industry in the City of New York entered into an agreement with the employers' association in that industry which provided, in addition to the usual matters covered by collective bargaining agreements, that there should be but one collective bargaining agreement in the industry. Subse-

---

63a. N. Y. Gen'l Bus Law § 340, Subd. 2, N. Y. C. P. Act (1935) § 876a.

quently a rival employers' association was formed by certain employers and, upon the union refusing to enter into a collective bargaining agreement with it, the association brought an action against both the labor union and the employers' association-contractee, to declare the restrictive provision of the collective bargaining agreement illegal as in contravention of the Donnelly Anti-Trust Law and to compel the labor union to enter into a collective bargaining agreement with the plaintiff association. The union defended on the ground that its agreements were exempted from the operation of the Donnelly Act, and its contention was sustained *and the contract held valid as to both contractees.*[64]

In his opinion in that case, Mr. Justice Rosenman, before whom the case came at Special Term, said:

> "If the contract be held legal as to the defendant labor unions, it must, likewise, be held valid as to defendant association. The contract cannot be effective as to one signatory and ineffective as to the other. If a labor union is legally entitled to enter into the agreement here assailed, such privilege

64. The present writer, who was attorney for the labor union in that case, disapproved of the practice embodied in the provision of the contract under consideration in that case, taking the position that it was against good labor union policy for a union to attempt to bolster the power of an employers' association by giving it exclusive bargaining rights. It was and is his position that good labor policy requires each side to the collective bargaining agreement to stay strictly on its side of the fence. A union should not ask an employers' association to assist it in any "organization drive," nor should it assist an employers' association in any such drive. But he considered it important that the exemption given by the New York statute should be upheld in its entire extent, for fear that otherwise it might be emasculated in the same way as the Clayton Act had been, the contention of the other side being, in fact, that the courts ought to read the exemption in the New York statute in the same way that the Federal courts had read the exemptions in the Clayton Act. He also held that there is a difference between what labor unions ought to pursue voluntarily as proper policy, and what the courts may compel a labor union to do. In the given instance, for instance, it was claimed by the union that the plaintiff in the suit was in fact organized by what is commonly called "chizzlers" who had been expelled for "chizzling" from the employers' association defendant, and others "similarly situated."

Also, in that case, while the union refused to enter into any collective bargaining agreement with the employers'-association-plaintiff, it was willing to enter into any agreement with its individual members, and it was its practice to make individual agreements with employers who were not members of the employers'-association-defendant on substantially the same terms as the collective bargaining agreement with that association.

would be wholly illusory if the contract were to be held invalid as to the other contracting party." [65]

C. The Constitutional Problem Involved

The most serious problem before Congress, however, was that of constitutionality; and we believe that that was the decisive consideration in the choice of the *form* which Section 6 finally took. The argument against the form of exemption contained in the Bartlett-Bacon bill, and now proposed by some members of Congress as a substitute for the Webb amendment, was that the courts might hold it unconstitutional. That the danger was serious, will readily appear upon an examination of the constitutional theories prevalent at the time. The claim of those who thought the specific exemption of labor unions as such would be unconstitutional—and such claim had been made vociferously out of Congress at least—was based, primarily, on the proposition that this was *class legislation,* in that it exempted *a class of persons* from the operation of a general law by saying that a law, supposedly applicable to all alike, should *not apply to them.* In support of that contention they could quote various *dicta* from the opinions of the courts, including opinions of the Supreme Court. So, for instance, the Supreme Court had said in a leading case:

> "Class legislation, *discriminating against some and favoring others,* is prohibited." [65a]

In this connection it must be borne in mind that an exemption in the language of the Bartlett-Bacon bill *does* seem to make a distinction between *persons* rather than between *activities,* for it does not extend to employers. Accordingly, it might be argued that a combination of employers ordering a lock-out of all employees in the industry would be subject to prosecution under the Sherman Act while a labor union ordering a strike would not. Furthermore, this might not only make the enactment class legislation, but it might also deprive the employers of the equal protec-

65. See American Fur Mfgrs. Assn. v. Associated, Fur Coat, etc., Mfgrs., 161 Misc. 246, 249, 291 N. Y. S. 610, 614 (1936). Judge Rosenman's decision was affirmed, without opinion, and both the appellate Division and the Court of Appeals refused to review that decision.

65a. See Barbier v. Connelly, 113 U. S. 27, 29 (1885).

tion of the laws. And while the Federal Constitution does not contain any specific provision such as the "equal protection of the laws" clause of the Fourteenth Amendment, equality of protection is nevertheless one of the basic principles of our constitutional law, and it had then been recently so held in a connection which could not but be considered ominous in this discussion. In the case of *Adair v. United States,*[65b] decided only one week before the *Danbury Hatters'* case, a federal statute which made it an offense for a railroad engaged in interstate commerce to refuse to employ a workingman because of his union membership was criticised as offending against that principle. In the opinion in that case, delivered by Mr. Justice Harlan, the Supreme Court said:

> "It may be observed in passing, that while that section makes it a crime against the United States to unjustly discriminate against an employee of an interstate carrier because of his being a member of a labor organization, it does not make it a crime to unjustly discriminate against an employee of the carrier because of his not being a member of such an organization."[65c]

In illustrating the general atmosphere then prevalent in the courts, and the attitude of the Supreme Court before whom the action of Congress would have to run the gauntlet of constitutionality, we may refer to the case of *Truax v. Corrigan*[65d] which was decided by the Supreme Court one year after the *Duplex* case. In the *Truax* decision the Court declared unconstitutional an anti-injunction act of the State of Arizona on the grounds that it was class legislation. In its opinion in that case the Court cited with approval the language quoted above from *Barbier v. Connolly,* and then added:

> "Thus, the guaranty was intended to secure equality not only *for* all, but *against* all similarly situated. Indeed, protection is not protection unless it does so. Immunity granted to a class, however limited, having the effect to deprive another class, however limited, of a personal or property right, is just as clearly a denial of equal protection of the laws to the latter

---

65b. 208 U. S. 161 (1908).
65c. *Id.* at 169.
65d. 257 U. S. 312 (1921).

class as if the immunity were in favor of, or the deprivation of right permitted worked against, a larger class." [65e]

The Constitution has given Congress the power to regulate interstate commerce. But the courts have held that in regulating commerce it must observe all the other provisions of the Constitution which are considered limitations upon the general power of Congress to legislate, and these include the prohibition against class legislation and the requirement of equal protection of the laws. The Supreme Court had practically said in advance what it would do if Congress attempted to exempt workingmen as a class, persons, or labor unions as a class of organizations, from the operation of the Sherman Act. In the *Debs* case, Mr. Justice Brewer, speaking for a unanimous court, stated:

> "It is curious to note the fact that in a large proportion of the cases in respect to interstate commerce brought to this Court the question presented was of the validity of state legislation in its bearing upon interstate commerce, and the uniform course of decision has been to declare that it is not within the competency of a state to legislate in such a manner as to obstruct interstate commerce. If a state, with its recognized power of sovereignty, is impotent to obstruct interstate commerce, can it be that any mere voluntary association of individuals within the limits of that state has a power which the state itself does not possess?" [66]

This statement of Mr. Justice Brewer was quoted with approval by Chief Justice Fuller, again speaking for the unanimous Supreme Court, in the *Danbury Hatters'* case, as part of his argument against the contention of the defendants in that case that the Sherman Act did not apply to labor unions. And he added: *"The question answers itself."* [66a]

Congress was therefore well advised to step warily.

65e. *Id.* at 333.

66. *In re* Debs, 158 U. S. 564 (1895). The present writer had always thought that this particular statement of Mr. Justice Brewer was one of the curiosities of judicial literature, since everybody knows that there are any number of things which the states cannot do, but which the Supreme Court had nevertheless held individuals could do.

66a. See Loewe v. Lawlor, 208 U. S. 274, 304 (1908).

VIII

Congress Solves Its Problems

A. The Meaning of "Lawfully"

The first problem, that of laying the ghost of "legalization," was solved easily enough by the Senate Committee on Judiciary, by inserting the word "lawfully" in that portion of Section 6 which dealt with the acts of *individuals* and *means*. As adopted by the House, Section 6 consisted of three provisions: The first exempted the *existence and operation* of labor organizations. It read:

> "Nothing contained in the Anti-Trust Laws shall be construed to forbid the *existence and operation* of labor, agricultural, or horticultural organizations, instituted for the purpose of mutual help, and not having capital stock or conducted for profit."[67]

Then came a provision referring not to the organizations themselves, but to the *individuals* composing them and to the *means* employed by them. This provision read:

> "or to forbid or restrain individual members of such organizations from carrying out the legitimate objects thereof."

Three things should be noted in analyzing this provision. The first is the *contrasting* of individuals to organizations. The second is the differentiation between *objects* and *means*—organizations have *objects,* while individuals use *means*. It is individuals who are "carrying out," but the "objects" which they carry out

67. As further proof that this exemption was not intended to merely legalize the existence of labor organizations, or of operations that would not fall within the purview of the Act if the Act were to be applied on a basis of equality to combinations of labor and capital, attention is called to the limitation of the exemption to organizations "instituted for the purpose of mutual help and not having capital stock or conducted for profit." Clearly, an organization or combination that does not in any way offend the anti-trust laws as generally construed, could not possibly come within its purview even if it was not organized for mutual help, or had capital stock, or was conducted for profit. This threefold limitation of the exemption should in itself be sufficient to prove that the exemption was intended to exempt activities which would otherwise be considered within the purview of the anti-trust laws as generally construed.

are those of the organization. And lastly, we must note the introduction of the word "restrain" in connection with the "carrying out," which connotes in the use of means. The reason for this becomes apparent if we consider the legal import of the Sherman Act. It does not deal with the *operations* of any agreements or combinations. It was intended, instead, to prevent certain economic results or phenomena. But in order to prevent those economic results, or to forestall the phenomena, it *forbids certain agreements and combinations* having certain objects. In order for an agreement or combination to come within the ban of the Sherman Act, it is unnecessary that any activities should have followed. The *gravamen* of the offense is the *agreement* to do a certain thing, or to conduct business in a certain manner, or to combine with a certain *object* in view—but no agreement for *affirmative* action is necessary. Hence, as decided by the Supreme Court in the *Nash* case,[68] an indictment under the Sherman Act need not allege any overt act. *The Sherman Act forbids the existence of the agreement or combination.* The mere *entering* into the agreement or into a combination is therefore an offense against the Act.

An exemption of a certain *agreement* or *combination* from the operation of the Sherman Act is, therefore, in itself an exemption of any operations by the combination or in pursuance of the agreement. And *vice versa,* for if the *operation* of the combination or the *carrying out* of the agreement is forbidden, the agreement or combination itself becomes illegal and is forbidden by the Sherman Act. Judge Dayton was, therefore, absolutely correct when he decided that a labor union which had certain objects, and operated pursuant thereto, was an illegal organization, subject to dissolution, if those objects or the manner of operation could be restrained because in violation of the Sherman Act. The use in the first exemption, that dealing with organizations, of the words "and operation" was therefore due to an "abundance of caution," which was certainly not out of place as events proved. But the situation was quite different when Congress came to deal with the acts of individuals. Here it is the *operation* that was "the thing" to be exempted. And when dealing with operations of in-

68. U. S. v. Nash, 229 U. S. 373 (1913).

dividuals, "restrain" became of greater importance than "forbid." Operations could, of course, be restrained in a civil suit, and punished as forbidden in a criminal action. Heretofore, however, no criminal prosecutions had been instituted against labor unions under the Sherman Act; its application had been limited entirely to civil suits. It was therefore necessary to introduce the word "restrain" in connection with the exemption. That word is, then, the core of this part of Section 6, and the word "forbid" is used from an "abundance of caution."

It will be recalled that in the opinion of the House Judiciary Committee the two provisions quoted above were sufficient to accomplish the object in view, namely, that of exempting labor unions, their officers and members, from the purview of the Sherman Act while they were engaged in the ordinary course of labor union activities. Because, however, of the fear that the courts might again pervert the Congressional intent, the Webb amendment was introduced by the House Judiciary Committee and adopted by the House. We may now look again at that amendment for the purpose of correlating it to the analysis just made of the two provisions contained in the original report of the House Judiciary Committee. The Webb amendment, which constitutes the third exemptory provision, read:

> "nor shall such organizations, or the members thereof, be held or construed to be illegal combinations or conspiracies in restraint of trade, under the Anti-Trust Laws."

The thing to be noticed about this provision, first of all, is that it deals with both organizations and individuals; and, second, that it does not differentiate between objects and means. Including both, organizations and individuals, and objects as well as means, it states flatly that they may not "be held or construed to be illegal combinations or conspiracies in restraint of trade, under the Anti-Trust Laws."

Into that portion of the Section dealing with *individuals* and *means* the Senate Judiciary Committee introduced the single word, "lawfully." Much has been made of this word in subsequent discussion. But those who used this word as a peg on which to hang the emasculation of Section 7 completely overlooked the fact that, whatever its meaning in the particular provision in which it occurs, it leaves the other two provisions entirely as they stood before its introduction. We have already pointed out that under well-settled rules of statutory construction each provision of the section must be given effect. And in giving effect to these provisions they must, of course, be taken as they stand. Neither the first nor the last of these separate exemptions contains anything that would in any way limit it. If the Senate Judiciary Committee had desired to introduce the element of "lawfulness" into the entire section, it would have, of course, inserted it in each of the three independent provisions. *This it did not do.* As the first provision now stands it still declares that neither the existence nor the operation of labor unions is forbidden by the Sherman Act. *It does not say that only the lawful operations of labor unions are not forbidden by the Sherman Act.* Nor does it say that "such organizations" or their members shall not be declared illegal organizations under the Anti-Trust Laws *if "lawfully" operated.*

Clearly, the Senate Judiciary Committee did not intend to amend this Section as it came from the House so as to render it nugatory. We shall see further below that had the Senate Judiciary Committee intended to do so, the Senate would not have permitted it. And, of course, the House, which was clearly out to prevent future perversion of the Sherman Act by its application to labor, would not have permitted the Senate to pervert or convert the exemption into its opposite. If there could be any doubt on the subject, such doubt is dispelled by the statement of Mr. Webb, the chairman of the House Judiciary Committee, to the House, when the Conference Committee report came before that body with the word "lawfully" in it. Mr. Webb had been a member of the Conference Committee. In his report to the House on the action of the Conference Committee he omitted any reference to this amendment. He was then asked by a member of the House why the amendment had been introduced by the Senate. To this he replied:

> "I do not know what moved the Senate to put that word in. We had no objection to it, and hence accepted the amendment."

Thereupon the questioning member observed:

"The gentleman did not refer to it, and I regard it as a rather potent amendment."

To this Mr. Webb replied:

"No; I did not refer to it, but the omission was not intentional. I think it is put in simply to ease some people's consciences and that is all. I do not think it gives any more or less effect to this section as we passed it."

And there can be no doubt of the fact that Mr. Webb was right. The Senate introduced the word "lawfully" in order to ease some people's consciences and so that they could not be charged with legalizing acts of violence or tortious acts, in the sense of exempting them from punishment under laws other than the Sherman Act. This becomes abundantly clear when we come to discuss the really important amendment introduced by the Senate, the addition of a fourth *exemption* in the form of the *declaration* which is now the first sentence of Section 6.

B. Labor Is Not a Commodity

The really great problem before Congress was that of constitutionality. That presented itself in the form of a dilemma which turned around the admonition, *"Beware of the Courts!"* The dilemma was this: Either Congress adopt the language of the Bartlett-Bacon bill, and run the risk of the courts declaring the exemption unconstitutional as class legislation; or else Congress use some set of words which it thought accomplished the same purpose without putting labor unions or workers in a separate, preferred, class, and run the risk of *emasculation* by *construction.* A careful reading of the debates in the Senate is illuminating on this point. Aside from some disingenuous arguments on the part of a very small number of Senators, the most important of whom was Senator Pomerene (who would have liked to start out with an emasculated Act but did not dare say so openly) the real discussion was among friends of the proposal to exempt labor, who differed on which was the greater danger, or, rather, which could be more easily avoided.

Two of the Senators who participated in the discussion were also concerned, as already pointed out, lest the anti-trust laws be weakened by establishing the improper principle of exemption. One was Senator Thomas, as we have already seen. Senator Borah was also in that class, as we shall see further below. But these were comparatively minor considerations; the major problem was that of constitutionality. It so happened, however, that this problem of constitutionality was intimately related to the minor problem which worried Senators Borah and Thomas. Thus, while the exemption of a class would probably lead the courts to declare the law unconstitutional, it would also, if sustained, establish a wrong principle of exemption, namely, that of exempting a class of persons from the operation of the law, instead of *limiting the law to a class of subjects.* They therefore argued against the form of exemption contained in the Bartlett-Bacon bill, and offered to the House, as a substitute, the Webb amendment. The argument on the other side was, of course, that any deviation from such a flat exemption as was contained in the Bartlett-Bacon bill would leave the door open to an emasculation of the Act by the courts.[69]

---

69. The cry of *"Beware of the Courts!,"* and *"Don't open the door to construction!,"* runs like a red thread through the entire Congressional debates, and presents an outstanding example of distrust of the courts. The debates are, therefore, instructive not only as completely negating the possibility that Congress intended to perpetuate the construction of the Sherman Act given to it by the courts, but also as explaining the form in which many other Congressional acts intended for the protection of labor have been cast. The following examples will suffice to show the general tenor of the discussion.

On May 26, before the introduction of the Webb amendment, Representative MacDonald warned the House against possible misconstruction by the courts in the following language:

> "The amendment ought to be couched in such terms as to leave absolutely no doubt as to the meaning. There ought not to be any evasive or technical terms used that would enable the party seeking delay in these matters to plausibly urge the submitting it to the courts for construction." 51 CONG. REC. 9249 (1914).

On June 1, Representative Murdock, in criticizing the language of the Webb amendment, said:

> "Now, the tragedy of this transaction, my friends, is this: That after labor went to the courts and after the courts had sent it back to Congress, Congress sends labor back to the courts again. Eight or ten or twelve years hence the courts will decide what the amendment which we are about to adopt means." *Id.* at 9542.

On the same day, Representative Thomas, in offering a substitute for the Webb amendment, said:

"I believe when we go a-catting we ought to go a-catting; and I believe

We have seen that in the House the prevailing point of view was that the danger of emasculation, provided proper wording was used, was not as great as the danger of having the courts de-

---

that if we are going to take these organizations out from under this law we ought to do it in such a way that there can be no mistake about it and no reason for any court decisions upon the question hereafter * * *. Now, these organizations ought to be exempt. These anti-trust laws are intended for the suppression of monopolies and trusts. Whoever heard of an agricultural trust? Whoever heard of a laborers' trust? They are not the men who have the wealth of this country * * *. So I say, gentlemen, that if you are going to take them out of the provisions of these laws, take them out. If you are going to keep them in, why, keep them in, and do not go to beating the devil around the bush about it. Come out plainly and let us keep them in or take them out, one of the two. The gentleman from Texas (Mr. Henry) tells you that when the Sherman law was passed it was intended to exempt farmers' and laborers' organizations." *Id.* at 9544, 9545.

Representative Bartlett, who, as we have seen, supported the Webb amendment, was no less concerned about making it impossible for the courts to "construe" away the intentions of Congress, but he thought that that was exactly what the Webb amendment did. Said he:

"It is true that in the *Danbury Hat* case, in Two Hundred and Eighth United States, the Supreme Court decided that the action of the labor union involved in that case was a violation of the Sherman anti-trust law. It is also true that the action of the labor union involved in that case was a violation of the Sherman anti-trust law. It is also true that no longer ago than Friday last another Circuit Court of Appeals of the United States decided in a like case that such action of a labor organization was not in violation of the Sherman anti-trust law. Therefore, to make the thing clear, in order to do that which Congress has the right to do, to make the statute so clear that 'he that runs may read,' to make the way so plain that 'the wayfaring man, although a fool, can not err therein,' we propose to put the proposition in this bill in compliance with the universal demand of the labor organizations, in compliance with the Democratic platforms in 1908 and 1912, and, above all, in compliance with the demands of right and justice and civilization." *Id.* at 9544.

In the same debate, Representative Quinn said:

"My friend from Texas talks about what Sen. George did. I have the honor to come from the same State that James G. George came from. If Senator George were here, he would be an advocate for this amendment. He was recognized as one of the greatest lawyers in the whole Union, and if he were living to-day he would throw up his hands in holy horror at the forward steps taken by the Federal courts of this country. In his day, gentlemen, the courts did not undertake to legislate away the rights of the people: but now it has come to the point that the people can not get their rights through Congress, and when we come here some Members want to put a little easy stuff in that the courts can construe against the farmers' unions and the labor unions. Let us put language in here that they can not misconstrue * * *. The only way on earth to keep the eagle eye of the Federal courts off the farmers' unions and the labor unions is to make this anti-trust law so plain that they are not included in its scope that any child in the United States can understand it. If there is the slightest ambiguity in the language, you will hear of some Federal judge in 'Possum Hollow' announcing a decision that the farmers' union is a trust in restraint of trade and that the individual members are subject to indictment if by concert of action they clare the exemption unconstitutional. The Webb amendment was, therefore, preferred to the substitute, with the approval of Mr. Bartlett, of the Bartlett-Bacon bill, after the House had been assured that the representatives of labor also preferred the Webb formula to that of the Bartlett-Bacon bill. But the Webb amendment was not satisfactory to some of the Senators friendly to labor exemption, notably Senator Cummins, who did not, however, favor the Bartlett-Bacon formula for constitutional reasons. In this connection the exact legal situation with respect to the problem of constitutionality, if the word "exact" can ever be used in such a connection, was this: We have seen that in *Barbier v. Connolly* the Supreme Court had declared flatly that the exemption of a class of persons from the operation of a law was "class legislation," and therefore unconstitutional. But the statement announcing that general rule proceeded to say:

> "but legislation which, in carrying out a public purpose, is *limited* in its application, if, *within* the sphere of its operations it affects alike all persons similarly situated, is not within the Amendment."[70]

The point contended for by Senators Cummins and Borah was, therefore, that the exemption ought to take the form, not of an exemption of a class of persons or organizations, but of a *limitation of the subject matter* legislated upon. Not, indeed, that the

---

hold their cotton or other farm products for a higher price. I am going to vote for the Webb amendment, and on top of that I shall support the Thomas amendment. The Webb amendment leaves too much for the courts to construe; but if you will follow it up by adopting the Thomas amendment, we all know the farmers' unions and the labor organizations will be in the 'clear' for all time." *Id.* at 9546

Representative Reilly on the same day:

"I am not a lawyer; just a common layman, without ability to give a judicial opinion, but I do know what is meant when it is stated that the Sherman anti-trust law shall not apply to certain organizations.

"Let us state the case as plainly as possible, so there will be no doubt in the mind of anyone as to what it is intended to do. If these organizations are to be exempted, let us say so; if they are not, let us say that. Do not let us quibble nor leave it to courts to upset the intention of Congress in this matter." *Id.* at 9564.

70. *Barbier* v. *Connolly* was decided under the equal protection clause of the Fourteenth Amendment. But, as we have seen, that clause is considered a basic principle of our constitutional law, and therefore applicable to federal legislation, even though no such clause is contained in the Fifth Amendment or elsewhere in the Constitution.

operation of the Sherman Act should be narrowed from its original intention, but rather, that the real intention of the framers of that Act, as well as the intentions of Congress now amplifying it, should be shown to be limited in its subject matter so as not to include the activities of labor unions.

The argument was that everyone agreed that Congress in passing the Sherman Act, did not have in mind labor unions, and did not intend that the Act should affect such organizations. The reason was not that Congress intended to extend a special privilege to labor unions, but that the non-applicability of the Sherman Act to labor unions, as is evidenced from the debates in the Senate at the time of the adoption of the Sherman Act, and particularly from Senator Borah's statements in the Senate at that time, was based on the fact that Congress was legislating only with respect to commerce and commodities in commerce. Labor union activities were then thought to be exempted without a special exemption provision because they were not within the subject matter of the Act, since labor is not a commodity in interstate commerce. Therefore, labor is not being *exempted* now. Congress is merely declaring that it is not within the purview of its previous legislation. That is the real intention of Congress; and *that* is not unconstitutional under the principle laid down in *Barbier v. Connolly.*

Then, said Senator Cummins, why not say so. Why not simply *declare* that labor is not a commodity and stop at that? Such a declaration would be sufficient to show the subject matter with which Congress was dealing and the non-applicability of the Act to legitimate labor union activities would follow as a matter of course. He therefore offered as a substitute for the Webb amendment the sentence which now forms the first part of Section 6:

> "That the labor of a human being is not a commodity or article of commerce."

It is important to note in this connection that the power of Congress to legislate with respect to trusts is based on its power to regulate commerce. If labor is not an article of commerce, that is, of course, a valid constitutional ground why Congress should exclude labor union activities from the purview of the anti-trust legislation. But such is the intricacy of our constitutional law, that while disposing satisfactorily of the problem before Congress at the moment, this point raised, in the opinion of at least one important Senator, another very serious problem. In the discussion on Senator Cummins' proposed substitute, Senator Borah expressed serious concern over this method of disposing of the present difficulty, suggesting that it might raise serious difficulties at some future time when Congress attempted to pass labor legislation. Since, said he, labor is not a commodity or article of commerce and, therefore, properly without the purview of the antitrust laws, how can Congress legislate for the protection of labor where labor needs protection in other situations? Won't we be confronted with the contention that since labor is not an article of commerce, Congress has no power to legislate concerning labor? These considerations were answered by other Senators in a manner which seems conclusive, and Senator Borah in the end voted for the Cummins substitute. But not before some other things happened which require our attention.

Before considering those matters a word must be said about the subject generally. Senator Borah has been represented as one of those who had stated in the Congressional debates on the Clayton Act that Section 6 was not intended to change the law. In a certain sense that is true, *but not in the sense in which it has been used by those who contended that Section 6 does not contain an exemption of labor disputes from the operation of the Sherman Act.*

On the contrary, while not using the formula we are contending for, he gave it effect in the course of his argument. His position, as stated by him in one of the several speeches he made on the subject was this: the Sherman Act deals with economic problems, and must therefore be construed in accordance with its economic purposes. Its purpose is to prevent and punish combinations which seek to monopolize trade and commerce by restraining the same. Labor is not an article of commerce; and, in any event, workingmen do not trade in *other people's* labor, like traders in commodities. They are *producers* and not *traders.* The antitrust laws concededly deal with monopolies of *trade,* not of *production.* The Supreme Court has repeatedly stated, and in so doing it has merely repeated an elementary principle of the common law, that in considering the applicability or non-applicability of the Sherman Act, the combination must be judged by its objects and purposes. Therefore, legitimate labor union activities do not come within the ban of the Sherman Act; all that is necessary to correct the mischief of the court decisions complained of is a proper declaration to that effect. On the other hand, if the officials or members of a labor union should engage in what is really an extra-labor-union activity, and become part of a combination the *purpose of which* is to restrain trade, such, for instance, as was suggested by Senator Thomas, there is no reason why they should be exempted from the operation of the Sherman Act. Even labor is not seeking such an exemption. It is, therefore, perhaps correct to say that while Senator Borah did not advocate any change in the law, he did advocate a proper *declaration* of it. But this does not mean that he agreed with the decisions of the courts on the subject.[71] The law that he wanted to have declared

---

71. Even in those early days of his career in the Senate, Senator Borah played a somewhat lone hand. He was a conservative in his general outlook, and therefore not given to attacks upon the courts. But he was also independent in his judgment as a lawyer, and therefore not overawed by court decisions. When Borah said that the Sherman Act meant this or that, he did not, therefore, necessarily mean that that was what the courts said it meant. It was Borah giving *his own* opinion. His relations to labor were also somewhat peculiar. Borah's first important contact with labor was as prosecutor in the famous *Moyer-Haywood* case, which did not prejudice him in their favor, as he was careful to observe in the course of this debate. But he had come to realize the importance of labor unions, and had apparently reached the conclusion that the improper use made of the Sherman Act in labor disputes was not in the public interest. On his attitude towards the courts, the following statement, made by him in the course of this debate, called forth by the frequent criticism of the courts during the debate, is significant:

> "Mr. President, it is a common, and, I think, a deplorably common thing in these days to be always assailing the courts. I do not sympathize with this wholesale assault.
>
> "I do not claim that the courts do not err; they sometimes err, signally and pronouncedly. I do not claim that they always administer justice with an even and exact hand, for judges are human and the passions and prejudices, the limited vision and the clouded mind which sometimes attach to their kind are also theirs." 51 CONG. REC. 13978 (1914).

His own interpretation of the Sherman Act in its applicability to labor appears best from a long colloquy between himself and Senator Hughes, during a speech which he made on August 18. At first glance, his answers to Senator Hughes' pointed questions sound like quibbling. But a careful examination of his answers clearly shows that his basic position was that was the law of the meaning of the Sherman Act as he expounded it.[72]

---

whether or not a labor union activity came within the purview of the Sherman Act, depended upon the *purpose* which the actors had in mind, or the *objective* which they sought to obtain. If the purpose or objective of the course of conduct complained of is to obtain the amelioration of the lot of the workers or the conditions under which they work, that was an objective outside of the purview of the Sherman Act and therefore not within its prohibitions. But if the purpose of the arrangement or the objective sought to be accomplished thereby was one covered by the Sherman Act, that is to say, had to do with the control of *commodities in the market* as to the level of their prices or of competition therein, then the persons engaging in the activity were subject to the provisions of the Sherman Act, irrespective of whether they were workers or capitalists, labor unions, or organizations of capital. 51 CONG. REC. 13922, 13923 (1914).

72. A reading of Senator Borah's several speeches in this debate, and particularly his long address delivered on August 18, shows that he was somewhat confused on the relation between objects and purposes on the one hand and means used on the other. Thus, he seems to have thought that while a voluntary restraint of interstate commerce by labor, even if it led to a complete cessation of such commerce, was legal under the Sherman Act, the "coercion" by labor of others to abstain from engaging in interstate commerce might not be legal. This misconception arose from a confusion of the relation between the Sherman Act as an economic act and the rights of labor generally, with the relation of the Act to other people under the common law. But he was quite clear on the subject that the Sherman Act, prior to the enactment of the Clayton Act, did not apply to labor *in the same manner (that is, on a basis of equality) that it did to combinations of capital.* And it was his expressed purpose that the Clayton Act should remove any doubts on that subject. He was, therefore, in favor of a formulation which would, on the one hand, differentiate between the objectives which labor might pursue, and those which capital might pursue, making objectives which would be illegal if pursued on the part of capital legal when pursued by labor. On the other hand, he was anxious that there should be no exemption to laborers as a class, so as to exempt them from the purview of the Sherman Act if they should attempt to accomplish the purposes the accomplishment of which is made illegal for other persons by the Sherman Act. Such an illegal use, for instance, would be the raising of prices of commodities. This, he believed, was the true interpretation of the Sherman Act as it then stood, and this was what the Clayton Bill was designed to make certain.

Senator Borah's position appears from a number of colloquies had between him and other Senators, particularly Senator Hughes; and also from two passages towards the close of his main address on August 18. On the distinction between labor and capital under the Sherman Act, as he understood it, he said:

> "In brief, what do these authorities hold? They hold the right of laborers singly or collectively, for good reason or no reason, to quit work, and that this right is absolute and guaranteed and protected by the Constitution. That the fact that the employees quitting work are in the em-

We may now return to the matters and events that influenced Congress as a whole. One of these was a decision of the United States Supreme Court rendered between the time of the adoption

ploy of an interstate carrier and that interstate commerce is thereby interfered with does not change the rule or modify the right. That the fact that interstate commerce must suffer, and the public be inconvenienced, just all yield to the superior and protected right of the laborer to be free to do as he will with his labor. In other words, they clearly recognize the distinction between a commodity and labor. No combination would have a right to combine and to withhold the products of commerce through an intention of enforcing higher prices." 51 CONG. REC. 13924 (1914).

On the subject of his objections to an exemption of laborers as a class, which would permit them to engage in the *kind* of restraints which are prohibited to capital, that is, restraints which lead to the raising of the *prices of commodities,* he said:

"But, Mr. President, we are asked by some to declare that the labor unions may go further and affirmatively and effectively and with design interfere with or restrain interstate commerce; that while we condemn all other interests and punish if they restrain trade or monopolize interstate commerce, we will except labor unions. This, Mr. President, I cannot do."

In this connection, careful differentiation must be made between a combination whose direct purpose is to raise the price of a *commodity* in interstate commerce and one to raise the price of the labor which goes into such commodity but which is not a commodity within the law as understood by Senator Borah, along with Senator Cummins and generally those who argued in favor of this legislation. When Borah gave it as his opinion that the raising of the price of labor which goes into commodities in interstate commerce, or even of *servicing* commodities in interstate commerce, or the interruption of interstate commerce in order to control the labor market in these connections, was not within the Sherman Act, 26 STAT. 209 (1890), as amended by 36 STAT. 1167 (1911), 15 U. S. C. §§ 1-7 (1940), he could very well point to the decisions of the Supreme Court in Hopkins v. U. S., 171 U. S. 578 (1898), and in U. S. v. Anderson, 171 U. S. 604 (1898), as sustaining his position in that when he was putting this interpretation of the Sherman Act into the Clayton Act he was not changing the law but confirming, in a sense, "the best opinion" on the subject. For in that case the Supreme Court had said, as a principle applicable alike to capital and labor:

"To treat as condemned by the act all agreements under which, as a result, the cost of conducting an interstate commercial business may be increased *would enlarge the application of the act far beyond the fair meaning of the language used* * * *.

"It is not difficult to imagine agreements of the character above indicated. For example, cattle, when transported long distances by rail, require rest, food and water. To give them these accommodations it is necessary to take them from the car and put them in pens or other places for their safe reception. Would an agreement among the landowners along the line not to lease their lands for less than a certain sum be a contract within the statute as being in restraint of interstate trade or commerce? Would it be such a contract even if the lands, or some of them, were necessary for use in furnishing the cattle with suitable accommodations? Would an agreement between the dealers in corn at some station along of Section 6 in the House (June 2, 1914) and the time when the matter came up for debate in the Senate. That was the decision in the *International Harvester* case, rendered on June 8, 1914.[73] In that case the Supreme Court sustained the constitutionality of an anti-trust law of the State of Missouri, which the Missouri Supreme Court had held did not apply to labor unions. The act in question did not in terms *exempt* labor unions. It provided that:

> "all arrangements, contracts, agreements, combinations, or understandings * * * designed or made with a view to lessen, or which tend to lessen, lawful trade, or full and free competition in the importation, transportation, manufacture, or sale of any product, commodity, or article, or thing bought and sold, * * * or which are designed or made with a view to increase, or which tend to increase, the market price of any product, commodity, or article, or thing, of any class or kind whatsoever, bought and sold * * *"[73a]

were against public policy, unlawful and void, and those offending were declared to be engaged in conspiracies in restraint of trade, punishable in a manner therein provided. In earlier cases, the Missouri Supreme Court had construed this law not to be applicable to "combinations of persons engaged in labor pursuits." In the present case, which was a prosecution of the International Harvester Corporation for being a combination in violation of the statute, the Harvester Company defended on the ground that the statute offended against the equal protection of the laws clause of the Fourteenth Amendment in two respects: first, in that it did not prohibit combinations of *purchasers* for the purpose of *lower-*

the line of the road not to sell it below a certain price be covered by the act, because the cattle must have corn for food? *Or would an agreement among the men not to perform the service of watering the cattle for less than a certain compensation come within the restriction of the statute?* * * * Would an agreement between builders of cattle cars not to build them under a certain price be void because the effect might be to increase the price of transportation of cattle between the states? * * * Would an agreement among cattle drivers not to drive the cattle after their arrival at the railroad depot at their place of destination to the cattle yards where sold, for less than a minimum sum, come within the statute? *Would an agreement among themselves by locomotive engineers, firemen or trainmen engaged in the service of an interstate railroad not to work for less than a certain named compensation be illegal because the cost of transporting interstate freight would be thereby enhanced?*" 51 Cong. Rec. 13968 (1914).

73. International Harvester Co. v. Missouri, 234 U. S. 199 (1914).

73a. Mo. Rev. Stat. (1909) § 10301.

ing prices; and, second, in that it discriminated between persons engaged in "labor pursuits" and those engaged in the manufacture and sale of commodities. Both courts, the Supreme Court of Missouri and the United States Supreme Court, overruled each contention. In so doing, the Supreme Court of the United States, while affirming the right of state legislatures to make classifications as to the *subject matter* upon which they legislate, reminded those legislatures that the power of classification is not absolute, and therefore cannot be exercised *arbitrarily*. In other words, while there must be absolutely no discrimination between *persons,* there may be discrimination between subject matters only when based on a reasonable distinction between what is included in the legislation and what is not. The Court ruled that in the present case there was really no discrimination in favor of labor unions, since the decision of the Missouri Supreme Court was not that labor unions as such were exempt, but that all persons engaged in *rendering services,* irrespective of class, *i.e.,* whether classed as combinations of capital or of labor, as distinguished from *sellers of commodities,* were exempt from the operation of the law which itself was confined, as a matter of legislation, to the subject of *commodities* and their market price. In concluding its opinion, the United States Supreme Court said:

> "Whether the Missouri statute should have set its condemnation on restraints generally, prohibiting combined action for any purpose and to everything, or confined it as the statute does to *manufacturers and vendors* of articles, and permitting it to purchasers of such articles; *prohibiting it to sellers of commodities and permitting it to sellers of services,* was a matter of legislative judgment; and we cannot say that the distinctions made are palpably arbitrary, which we have seen is the condition of judicial review." [73b]

We are unable to say whether it was this decision that was determinative of the form which Senator Cummins' substitute took, or whether this decision merely confirmed him in his determination to press a substitute previously formulated. There can be no doubt, however, that this decision carried weight with Senator Cummins and others of the Senate who finally adopted his sub-

73b. See International Harvester Co. v. Missouri, 234 U. S. 199, 215 (1914).

stitute as an amendment, and with the House Conferees who accepted the amendment and reported it favorably to the House. The decision was referred to in the course of the debate in the Senate, and the context in which it was referred to leaves no room for doubt that those who used it or relied on it did so for the purpose of *assuring full exemption* to labor unions so long as they stuck to problems involving what the Missouri Supreme Court called "labor pursuits," and did not attempt to engage in a combination whose *purpose* it was to raise the price of commodities or to monopolize trade therein.

But even more important to our discussion is the fact that Senator Cummins did not succeed in his motion to *substitute* his proposed exemption clause for the Webb amendment. Notwithstanding the apparently clear import of the decision of the Supreme Court in the *Harvester* case that the legislature had a right to limit its legislation to *commodities,* thus excluding "labor pursuits," some Senators insisted on *preferring* the Webb amendment as offering better protection to labor. That was probably due to two circumstances: first, the ever-present fear of *construction* by the courts, and the possible distinction that the courts might draw between an original limitation to commodities, and a *declaration* by a subsequent legislature that labor was not a commodity or an article of commerce; and second, the fact that labor had approved the Webb amendment. Accordingly, the debate continued to rage for some time—*each side trying to prove that its formulation was best adapted to give labor the protection which it sought and which Congress was determined to provide.*

The arguments presented were convincing—each side demonstrating conclusively that its formulation was such as would leave no room for unfavorable construction by the courts.[74] But neither

---

74. Senator Cummins commenced where Senator Borah left off by saying:

"I am not satisfied with the legislative expression found in the section now under consideration, but before I point out wherein I believe it might be strengthened and bettered I desire to pay some attention to the remarks of the Senator from North Dakota (Mr. McCumber) and other Senators who have viewed the matter from his standpoint. He assailed this legislation, and many eminent citizens have assailed it, because it is alleged that it is class legislation, because it is said that we are here permitting certain people to do an act which if done by others would constitute a violation of the law."

But he then proceeded to point out that what he was trying to do was not to side was able to convince the other that its own formulation was *better,* since that could have been done only by showing a flaw in one of the formulas. So, after a long debate, it was finally de-

---

exempt a class of persons from the operation of a statute, but rather to limit the operation of the statute to certain subjects, namely, the trade in commodities. His point was that restraint of trade relates to trade in commodities and therefore is not applicable to the problems raised by labor disputes or the actions of labor unions in connection therewith. Said he:

> "We have a statute which prohibits and makes unlawful restraints of trade. I agree with the Senator from North Dakota that a restraint of trade is as objectionable if brought about by a labor union as though brought about by a monopoly. But it is not always true that an interference with commerce on the part of a labor union is a restraint of trade.
>
> "I intend presently to ask the attention of the Senate to some observations with regard to the law of the matter, but just now I bespeak your consideration for one phase of this subject that hitherto has not been touched upon.
>
> "Labor organizations brought together for the purpose of enhancing or advancing wages, bettering the conditions of labor or lessening the hours of labor, can not in the very nature of things be a restraint of trade or commerce. Mark you, I am not now considering what the individual members of a labor organization may do."

So fundamental did Senator Cummins consider this distinction that he was willing to go to the length of affirming that Congress had no power to include labor unions within the prohibitions of the Sherman Act. He did not say that expressly, but he came pretty close to stating it when he said:

> "Let us take the next step. We have been debating this bill, and I have heard the subject debated a thousand times upon the hypothesis that the labor of a human being is of the same quality and order as a bale of cotton, a barrel of flour or a bushel of corn. I repudiate the parallel and the comparison. It is because we have been in the habit of thinking of labor as a commodity that we have fallen into many mistakes which now impair and mar, I think, both legislation and judicial opinion. The labor of a human being, whether it be of the mind or of the hand, is not a commodity. While we are in the habit, I know, of saying that a working man has nothing to sell but his labor it is a confusion in thought and in terms. Labor is not a commodity; it is not an article of commerce; and when the Constitution of the United States gave to Congress the authority to regulate commerce among the States, it did not give it the right to regulate labor, the disposition of the energy of the human being."

He was therefore of the opinion that under the Sherman Act as it then stood, labor union activities in connection with the legitimate purposes of a labor union, that is, those activities commonly involved in a labor dispute, were not within the prohibitions of the Anti-Trust Laws. And it was only because the courts had strayed from the proper path prescribed by the Constitution and the Law that the ameliorative action of the Clayton Act was necessary. Said he:

> "But there are a great many people in the country who do believe it is a violation of the anti-trust laws, precisely as it would be a violation of the law if a hundred manufacturers were to come together and agree that their products should be sold at a common price without any rivalry or competition between them. A combination or contract of that sort would be a violation of the anti-trust law before a single act was per-

cided to adopt *both* as a guaranty that Congress had finally found a formula which was *court proof;* and this settlement was justified by the argument that if, by any chance, the courts should overcome one formula, labor would have a second line of defense.

---

formed, save the mere execution of the contract itself. That contract has to do with commodities, with the subjects of commerce, with articles that are transported from place to place and bought and sold in the markets of the world. A contract or an arrangement between men who have nothing to give but themselves, nothing to employ except the power of their own bodies or of their minds which they have, and which they can give or refuse as they choose, such a contract or arrangement as that, as it has always seemed to me and as I believe the better opinion of the courts is, can not be adjudged to be a restraint of trade.

"For that reason I repudiate entirely the argument that we are here segregating a class, and exempting that class from the operation of the law and permitting its members to do the very things which other members of society are not permitted to do * * *.

"It is, however, as it seems to me, fair and just, in view of the disputes that have arisen from time to time and the differences of opinion which are everywhere manifest, to make it perfectly clear not by exempting a class and saying that we will not hold that class responsible for a violation of law, but by giving a legislative interpretation or construction of the law, by declaring, as we ought to declare, that labor is not a commodity, and that associations of laboring men for the purpose of lifting the level of their lives and increasing their compensation and other things that make existence a little more tolerable do not constitute a restraint of trade."

And as if to answer in advance the argument that the law which he was advocating deals merely with the existence of labor unions, and not with their operations involving labor disputes, he said:

"There has never been any serious dispute hitherto with regard to the mere existence of a labor union, but there has been a very wide range of dispute with regard to what the members of the union can properly do in order to make effectual the purposes of the union, and the whole war has gathered around that issue."

He then proceeds to discuss what labor unions may do generally, and in this connection he advocated a consolidation of Sections 7 and 18 (now 6 and 20) so as to state a positive labor code, instead of merely exempting labor unions from the operation of the Sherman Act and prohibiting courts from issuing injunctions in certain specified cases. He offered a substitute for both sections in accordance with his views on the subject, and wound up his address by again calling attention to what he considered the basic difference between activities of combinations of labor and the activities of combinations of capital, saying:

"I repeat that it disturbs me to hear labor termed a commodity—to hear the power of a man or woman to exercise the strength of mind or body in the production of something useful to the human race confused with the product which is the result of its exercise. It destroys all the distinctions that we ought to preserve. I close as I began with the insistence that when labor unions, with the purpose I have described, are declared to be without the anti-trust law, we are simply recognizing the essential character of things and are making a legislative declaration or interpretation of the law rather than classifying the people of the country and allow-

Needless to say, the House Conferees, who were as anxious as those of the Senate to give labor the protection it sought, could have no objection to the additional, and perhaps most decisive, assurance of exemption furnished by the Cummins amendment.

IX
Conclusion

Strange as it may seem, it is nevertheless a fact that neither the Webb amendment nor the Cummins amendment has ever adequately been urged upon the Supreme Court, or even considered by that Court.[74a]

---

ing one class to escape and another class to be bound." 51 CONG. REC. 13979 to 13983 (1914).

In the course of the debate in the House, Mr. Henry, in defending the Webb amendment against the criticism that it was not plain enough and therefore liable to "construction" by the courts said:

> "When the amendment says that these organizations shall not be regarded as conspiracies or illegal combinations in restraint of trade under the anti-trust laws, how can you make it plainer?" *Id.* at 9542.

And that was the sum and substance of the argument made in its behalf in the Senate.

74a. The cavalier manner in which both the court and counsel have treated the "commodity" clause of Section 6 of the Clayton Act is best illustrated by the *Hutcheson* case. We have already referred to the fact (see note 50, *supra*) that in the briefs of counsel for the union in that case there is no reference to the history of Section 6, and that the only attention paid to that Section by the court was in the dissenting opinion of Mr. Justice Roberts which merely echoed the opinion of the court in the *Duplex* case to the effect that Section 6 is chiefly remarkable for what it does not say. Of course, there was no reference to the "commodity" clause in either the majority or the minority opinion in that case. And the reason for it can be found in the treatment which that clause received in the argument of counsel. In the court below, Mr. Thurman Arnold disposed of the opening clause of Section 6 by saying that that clause

> "* * * cannot be said to have any definite, substantive meaning. Even though this statement was hailed by labor as making the Clayton Act 'Labor's Magna Carta', it is clear that the members of Congress *neither knew what the clause meant nor expected it to be of any great consequence.*"

This insult to the great lawyers who debated that clause for days is only made possible by the fact that the lawyers who appeared for labor took no greater trouble to ascertain the history of that clause than did Mr. Arnold, as can be seen from the reply made to this astounding assertion by counsel for the labor union. In their brief in the United States Supreme Court, counsel for the labor union quoted the above statement from Mr. Arnold's brief in the court below (which he had left out in the case in the Supreme Court, possibly because somebody called his attention to its astounding quality), There can be no doubt, however, that when the Supreme Court does finally consider these two amendments, in connection with their historic setting, and particularly in connection with the purpose of their sponsors, as shown in those momentous Congressional debates, the Court will have no difficulty in arriving at the conclusion that while Congress had not intended to exempt any particular class of persons from the operation of the Sherman Act, *it had intended to exclude the operations of labor unions when involved in labor disputes, from the purview of that Act.*

It remains only for us to add that although there was no intention on the part of Congress to exempt a *class of persons* from the operation of the Sherman Act, there is no doubt that both in intention as well as by the language actually used in the statute, labor unions may not be declared to be combinations in restraint of trade under any circumstances. The language of the Webb amendment is too clear to permit of any such action by the courts. Nor can officers or members of a labor union *as such, i.e., qua* officers or members of a labor union, be declared by any court to be a combination or part of a combination in restraint of trade, if either the intention of Congress or the language of the statute be given effect. For here too, the language of the Webb amendment is too clear. Nor is any manner of "construction" necessary for the purpose of effectuating the distinction clearly intended to be drawn by those who did not want to exempt a class of persons, such as Senators Borah, Cummins, and Thomas. That intention,

---

but instead of referring to the debates in the Senate while that clause in Section 6 was under consideration, they preferred to refer to a speech made in 1936 by President Roosevelt. The answer of counsel for the labor union to Mr. Arnold's astounding statement is worth quoting in full. It is as follows:

> "This somewhat cynical claim that this famous phrase was but sounding brass and a tinkling cymbal for delighting and deceiving the ear of Labor is in direct contradiction of the following statement by President Roosevelt at the Texas Centennial Exposition in Dallas, Texas, on June 12, 1936:
>
> 'The net result of monopoly, the net result of economic and financial control in the hands of the few, has in the past meant and means today, in large measure, the ownership of labor as a commodity. If labor is to be a commodity in the United States, in the final analysis it means that we shall become a nation of boarding houses, instead of a nation of homes. If our people ever submit to that, they will have said "goodby" to their historic freedom. Men do not fight for boarding houses. Men do fight and will fight for homes.'"

and with it all the requirements of social policy, can be fully effectuated by adjudging the individuals involved guilty of a violation of the Sherman Act because of their membership in *the combination whose purpose is to raise the price of, or monopolize the trade in, commodities.* This is quite a distinct combination from the labor union involved, for the latter was improperly made the instrument of *another illegal combination* by the acts of its officers or members.[75] Those improper acts ought not to be ascribed to the labor union itself because these individuals happened to be in a position to control its action. No social purpose could possibly be subserved thereby; and, as already pointed out, such adjudication is clearly violative of the express language of Section 6 of the Clayton Act. It is clear that those who framed the Webb amendment had that very thing in mind; they intended to protect the innocent members of labor unions from having visited upon them the sins of a few officials, and from being penalized by fine or triple damages out of the union treasury for the acts of individuals. As already stated, the individuals themselves can be reached without the adjudication prohibited by the Webb amendment.

Louis B. Boudin.

NEW YORK CITY.

75. In our brief in the *Apex* case we did not, as already stated, go into an analysis of the language of Section 6. We did, however, in drawing the distinction between exemption of labor unions and the exemption of labor disputes, and in pointing, by way of illustration, to the case of Local 167, etc. v. U. S., 291 U. S. 293 (1934), as being a case in which labor union men had joined traders in commodities to assist them in creating a monopoly within the purview of the Sherman Act, point out that the labor union itself should not have been adjudged guilty of a violation of that Act, on the ground that the actions of its officials in entering the illegal combination and using the union to effectuate the purposes of *that* combination were *ultra vires* of the purposes of the union (not in the strict sense of that term, of course, but on the general principle underlying it).